

Q1 2025

Custom Managed Portfolios

Scheer Rowlett Canadian Equity

Quick facts

Asset class:

Canadian Large Cap

Management style:

Value¹

Number of holdings:

52

Sub-advisor:

Scheer Rowlett

Portfolio manager:

Aviso Wealth

Minimum investment:

\$150,000

Inception Date:

January 01, 1997



What does the strategy invest in?

This strategy will invest in large capitalization Canadian companies that the manager believes are fundamentally strong and undervalued with the goal of preserving capital in falling markets and delivering growth in rising markets.

How has the strategy performed?

Average annual compound returns

	3 month	YTD	1 yr	3 yr	5 yr	10 yr	SI
Portfolio	-1.2%	-1.2%	10.3%	6.4%	17.6%	9.3%	9.6%
Benchmark ⁵	1.5%	1.5%	15.8%	7.8%	16.8%	8.6%	7.4%

Calendar year returns

	2024	2023	2022	2021	2020	2019	2018
Portfolio	17.9%	10.3%	1.5%	30.1%	2.9%	20.5%	-10.3%
Benchmark ⁵	21.6%	12.0%	-5.9%	25.1%	5.6%	22.9%	-8.9%

Standard deviation	10.0%	Sortino ratio	1.01	Downside capture	93.8%
Sharpe ratio	0.80	Beta (Equity)	0.95	Upside capture	106.5%

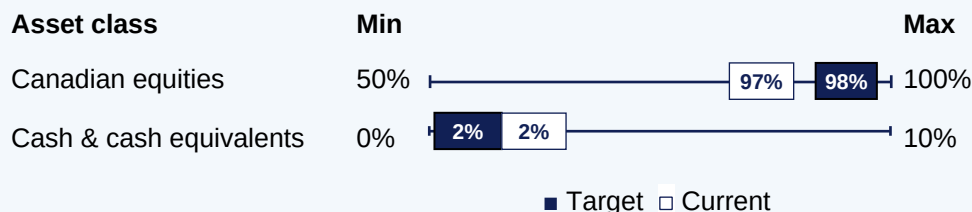
Largest holdings

1. ROYAL BANK OF CDA	7.8%	6. SUNCOR ENERGY INC NEW	3.8%
2. TORONTO DOMINION BK	6.7%	7. BARRICK GLD CORP	3.0%
3. TC ENERGY CORP	4.4%	8. ELEMENT FLEET MANAGEMENT	3.0%
4. BROOKFIELD CORP VTG CL A	4.4%	9. CENOVUS ENERGY INC	3.0%
5. CDN NTL RAILWAY CO	3.9%	10. BK OF NOVA SCOTIA	2.9%

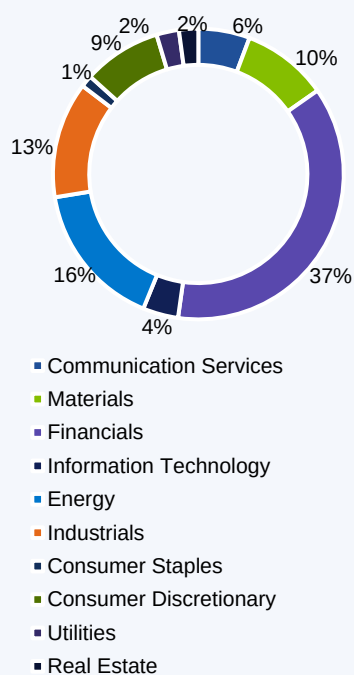
Portfolio attributes

Dividend yield	Average Trailing P/E	Average Forward P/E	Average Trailing P/S	Average Forward P/S	Average market cap	Portfolio turnover
3.1%	25.93	10.49	2.18	2.87	61.87B	48.6%

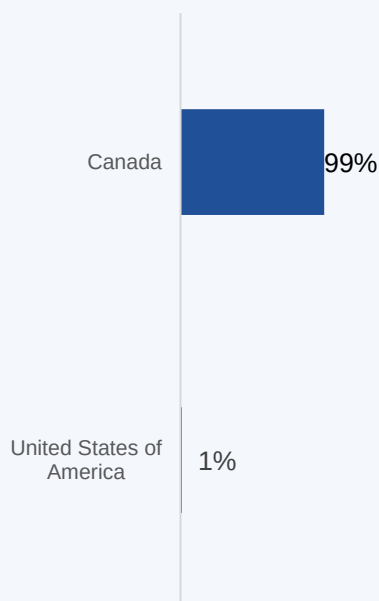
Target allocations



Sector breakdown



Geographic allocation



Quarterly commentary

In Utilities, Altagas outperformed on strong results. We view their west coast LPG export terminals as resilient assets. We continue to hold our position. In IT, our underweight added value as the sector underperformed by 9%. In Gold & Precious Metals, our sector underweight detracted value. In Materials, Methanex and Algoma Steel detracted value. Methanex's stock was weak due to Geismer 3 operating issues. Algoma's steel exports to the U.S. are possibly subject to tariffs, but the U.S. is a net importer of steel given supply deficiencies, plus Algoma is the only producer of large volume plate steel in Canada (higher margin) and there are more potential customers in Canada. We believe these challenges are largely short-term in nature.

In Industrials, NFI Group and Telus International detracted. NFI fell on concerns that a Trump executive order may freeze federal funding for transit buses, plus delays in the supply of seats for their buses (which is now improving). None of their bus orders have been cancelled, backlog is at an all-time high, and we see good upside potential. Telus International's results, while weak, show that margins are bottoming, and Telus Corp. has reaffirmed their support for the company.

In Consumer Discretionary, Spin Master, Magna and no position in Dollarama detracted. Spin Master's Q4 results missed expectations on lower EBITDA and lower 2025 margin guidance. However, expectations are for revenue growth across all products, and we see upside potential. Magna fell on auto parts tariff concerns of a complete industry shutdown, even though parts shipped that are USMCA compliant will be exempt from immediate tariffs. We view that logic in the auto sector will prevail, and Magna should outperform.

The current market environment has many of the same characteristics that existed during the COVID19 shutdown. Heightened levels of personal and business uncertainty have led investors to buy anything relating to gold & precious metals and sell anything relating to consumer discretionary spending and cyclical industries. We recall the COVID19 "meltdown" market period and while like now, we didn't know when it would end, we knew that it couldn't go on forever as a new reality of certainty and confidence would eventually prevail. What we did then is what we are doing now in this 'fluid' situation; we remain focused on the ongoing risks to the portfolio but remain steadfast in our view of building a bottom-up value-based portfolio with attractive upside potential.

Investment manager overview

Scheer, Rowlett & Associates Investment Management Ltd. (Scheer Rowlett) originally operated as Crown Life Investment Management Inc. (CLIMCO) and was founded in 1990 by the Crown Life Insurance Company. Prior to the formation of CLIMCO, Crown Life managed pooled funds as far back as 1973. In mid-1998, CLIMCO changed its name to Scheer, Rowlett & Associates Investment Management Ltd. at which time the investment professionals and Connor, Clark & Lunn Financial Group (CC&L Financial Group) became partners in the firm. In January of 2001, Crown Life sold its remaining ownership in Scheer Rowlett. The firm specializes in value-oriented, Canadian equities within the Connor, Clark & Lunn Financial Group of companies, which has over \$32 billion in assets under management.

Investment philosophy

Sionna practices classic Graham and Dodd value investing with a relative value overlay. Sionna Scheer Rowlett believes that quality never goes out of style and that personal judgment matters. The firm's value investment philosophy is founded on the belief that efficiencies in the equity market are realized over mid- to long-term periods. The firm believes that a company's earning ability, driven by its fundamentals, provide transparency to the company's worth. Based on this philosophy, Scheer Rowlett seeks to invest in undervalued companies with strong or improving fundamentals, healthy financial positions, and proven management. They strive to deliver superior, risk-adjusted returns over the long-term, in both up and down markets. The team's unwavering commitment to this investment philosophy forms the basis upon which it employs its bottom-up, value-oriented investment process.

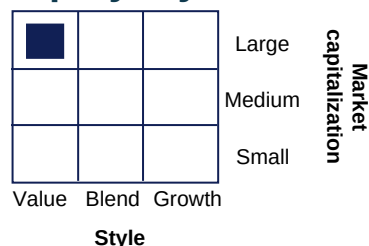
Investment process and risk controls

SRA Canadian equity portfolios are managed using a disciplined four-stage, bottom-up process based on thorough fundamental analysis.

- First, they conduct a value screen on all S&P/TSX companies on the basis of traditional valuation measures, such as price-to-book and price-to-earnings ratios.
- The second stage focuses on understanding the company and why its valuation is being discounted in the marketplace. Their analysis at this stage takes a close look at historical earnings, operating risk, the track record of management, and the competitive advantage the firm has within its industry.
- In their third stage, they look at the operating environment and changes that may have taken place that would inhibit the company's ability to repeat its past successes.
- At the final stage of the process, they estimate a fair value per share. They stick to a basic set of tools to obtain a valuation estimate of a particular company. They analyze a firm in terms of; discounted cash flow, breakup value, net asset value, relative cash flow, and earnings multiples.

Formal sector controls are adhered to in order to ensure diversification. Stocks are sold when: a stock's price has achieved its target; when there is a change in fundamentals for the company or industry; or when a more attractive opportunity arises.

Equity style²



About Aviso Wealth

Aviso Wealth is part of Aviso, one of Canada's largest independent wealth management firms. Owned by the credit unions, we serve hundreds of thousands of investors at credit unions across Canada.

With approximately \$130 billion of assets under administration and management, Aviso has the resources to bring the best products and services to credit unions and their members. Invest with confidence, with your credit union and Aviso.

- Nearly 30 years as the wealth management provider to credit unions across Canada
- One of Canada's largest independent wealth management firms
- Parent company of Aviso Wealth, NEI Investments, and Qtrade
- Owned by Canada's credit unions and Desjardins



¹ Value investing is an investment strategy that involves picking stocks that appear to be trading for less than their intrinsic or book value

² Style represents the aggregate characteristics of the underlying holdings within this model. Market capitalization measures the aggregate market value of the outstanding shares of a company. Large-cap stocks are defined as the group that accounts for the top 70% of the capitalization of each geographic area; mid-cap stocks represent the next 20%; and small-cap stocks represent the balance.

³ Duration measures the sensitivity of the fixed income investments to interest rate changes measured in years. In general, the longer the duration, the more sensitive the investment will be to interest rates changes. Credit quality measures the underlying issuer's ability to repay their debt.

The return data is as at March 31, 2025. Indicated rates of return are historical annual compounded total returns including reinvestment of all distributions for the period ended, and do not take into account management expenses, account sales, redemption, distribution or optional charges or income taxes payable by any security holder that would have reduced returns.

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⁵ The benchmark is S&P/TSX Composite TR Index

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